The 12th Finance Commission, constituted in the year 2002, was headed by Dr. C. Rangarajan, former Governor of the Reserve Bank. The recommendations of the 12th Finance Commission were for the period 2005-10. Presently the 15th Finance Commission is constituted by N.K. Singh, in November 2017, whose recommendations were to be implemented from 2020 to 2025, which has now been changed to 2021-26. Recently on 31 Dec., 2023 16th Finance Commission was constituted under the Chairmanship of Dr. Arvind Panagariya.

56. According to the 14th Finance Commission, the percentage share of States in the net proceeds of the shareable Central tax revenue should be :

(a) 32 percent (b) 35 percent
(c) 40 percent (d) 42 percent
(e) None of the above / More than one of the above

63rd B.P.S.C. (Pre) 2017

Ans. (d)

The 14th Finance Commission was appointed by the President of India on 2 January, 2013 under the chairmanship of Dr.Y.V. Reddy. The commission has recommended States' share in net proceeds of Central tax revenue (divisible pool) be 42 percent, a huge jump from the 32 percent recommended by the 13th Finance Commission. 14th FC had not made recommendations concerning sector-specific grants. 15th Finance Commission has recommended that 41 percent of the net proceeds of Central taxes be shared with the States.

57. In the year 2006-07, the Development Expenditure of Bihar in its total expenditure was-

(a) 60 Percent (b) 67 Percent
(c) 56 Percent (d) 54 Percent

48th to 52nd B.P.S.C. (Pre) 2008

The developmental expenditure of the state of Bihar was about 60 per cent of its total expenditure during the period in question. While according to the Bihar Economic Review, 2021-22, it is 67.7% in the year 2020-21 and 2021-22 (Budget estimate) had 69.8%. In the budget 2024-25, the Revenue and capital expenditure is estimated at 76.96% and 23.4% of total expenditure respectively.

Planning

1. Which of the following were goals of the Five-Year Plans?

1. Growth **2. Modernization**
3. Self-reliance **4. Literature**

(a) 1, 2 and 4 only (b) 1, 3 and 4 only
(c) 2, 3 and 4 only (d) More than one of the above
(e) None of the above

68th B.P.S.C. (Pre) 2022

Ans. (e)

Every five year plans is developed with a specific goal in mind. But never one solitary objective of the plans. The plan is supposed to work towards the perspective plan and must cover an important object. So let us look at these five types of goals we cover in the Five Year Plans like Growth, Modenisation, Self-Reliance, Equity and promote social welfare. So literature is not goal of the Five-Year Plans.

2. In which year was the 'Planning Commission' set up in India?

(a) 1950 (b) 1947
(c) 1948 (d) 1951

53rd to 55th B.P.S.C. (Pre) 2011

Ans. (a)

The Planning Commission was set up by a Cabinet Resolution in March, 1950 as an advisory body, in pursuance of declared objectives of the Government of India to promote a rapid rise in the standard of living of the people by efficient exploitation of the resources of the country, increasing production and offering opportunities to all for employment in the service of the community. It was a non-constitutional (not created by the Constitution) and a non-statutory body (not created by an Act of the Parliament). It may be described as a quasi-political body, which is not quite independent of the Government. The Prime Minister of India used to be the ex-officio chairman of the Planning Commission of India.

3. The Ex-officio Chairman of the Planning Commission of India is-

(a) Planning Minister (b) Prime Minister
(c) President (d) Governor of Reserve Bank

41st B.P.S.C. (Pre) 1996

Ans. (b)

See the above question's explanation.

4. NITI Aayog came into existence on :

(a) 1st January, 2014 (b) 1st June, 2014
(c) 1st January, 2015 (d) 1st June, 2015
(e) None of the above/More than one of the above

63rd B.P.S.C. (Pre) 2017

Ans. (c)

NITI Aayog (NITI : National Institution for Transforming India) was established on 1st January, 2015 by a Cabinet Resolution to replace the Planning Commission. It is a public policy think tank of the Government of India, established with the aim to achieve sustainable development goals with cooperative federalism by fostering the involvement of State Governments of India in the economic policy-making process using a bottom-up approach. Prime Minister is the ex-officio Chairman of the NITI Aayog.

5. In Government of India's NITI Aayog, which is an economic policy-making think tank, what is the full form of NITI?

(a) National Internal Trade Information
(b) National Institution for Transforming India
(c) National Integrated Treaty Institute
(d) National Intellectual Training Institute
(e) None of the above/More than one of the above

64th B.P.S.C. (Pre) 2018

Ans. (b)

See the explanation of the above question.

6. Who among the following is the CEO of the NITI Aayog?

(a) Amitabh Kant (b) S.S. Mundra
(c) Cyrus Mistry (d) Soumya Kanti Ghosh
(e) None of the above/More than one of the above

64th B.P.S.C. (Pre) 2018

Ans. (a)

Amitabh Kant was the second and current CEO of NITI Aayog. He assumed office on 17 February, 2016 in place of Sindhushree Khullar. Parameswaran Iyer replaces Amitabh Kant on 1 July, 2022. B.V.R. Subrahmanyam is the present Chief Executive Officer of NITI Aayog. He joined the office as on February 25, 2023.

7. In NITI Aayog's Health Index 2019, Bihar scored :

(a) 30.12 (b) 30.13
(c) 32.11 (d) 32.12
(e) None of the above/More than one of the above

65th B.P.S.C. (Pre) 2019

Ans. (c)

The second edition of NITI Aayog's State Health Index was released in June, 2019. In this index the score of Bihar was 32.11. NITI Aayog released the fourth edition of the State Health Index for 2019-20, titled 'Health States, Progressive India' on 27 December, 2021. The Index ranked the States and Union Territories based on 24 health-related indicators. Kerala (Score – 82.20) continued to top the List of Overall Reference Year (2019-20) Index Score for the best performing State in the health sector among the 19 larger States, while Uttar Pradesh continued to be at the bottom of the list with its score falling to 30.57. Other States at the bottom of the list are Bihar (31.00), Madhya Pradesh (36.72) and Rajasthan (41.33). Among the larger States, in terms of annual incremental performance, Uttar Pradesh, Assam and Telangana are the top three ranking States.
As per NITI Aayog's Annual Health Index 2020-21 Kerala, Tamilnadu and Telangana have occupied first three place respectively. While Bihar (19th) Uttar Pradesh (18) and Madhya Pradesh (17) are at the bottom of the list.

8. Which of the following is not a part of the National Development Council?

(a) Secretary of NITI Aayog
(b) Secretary, Ministry of Planning and Program Implementation
(c) Vice President of NITI Aayog
(d) Chairman of the Finance Commission of India
(e) None of the above / more than one of the above

67th B.P.S.C. (Pre) 2021

Ans. (e)

The Planning Commission was replaced by the NITI Aayog with effect from January 1, 2015, by the government. In those times, the Planning Commission and the National Development Council were related to each other, because the reports of the Planning Commission were approved and implemented by the National Development Council, while at present NITI Aayog has its own Governing Council. Therefore, it is not possible to explain the relationship between the National Development Council and the Policy Commission (NITI Aayog) in the present context.

9. Consider the following about the 'Rolling Plan' :

I. A plan for the current year which includes the annual budget
II. A plan for a fixed number of years, say 3, 4 or 5
III. It is revised every year as per requirements of the economy
IV. A perspective plan for 10, 15 or 20 years

Which of the above are correct?

(a) I and II (b) I and III
(c) II and III (d) I, II, III and IV

53rd to 55th B.P.S.C. (Pre) 2011

Ans. (d)

The 'Rolling Plan' for backward countries was suggested by Gunnar Myrdal in his book 'Indian Economic Planning in its Broader Setting'. The Rolling Plan consists of three different plans. First, a plan for the current year which includes the annual budget and second, a plan fixed for a fixed number of years, which may be 3, 4 or 5 years. As per the requirement of the economy, it is revised every year. Third, a perspective plan for long terms i.e. 10, 15 or 20 years. The main advantage of the Rolling Plans was that they were flexible and were able to overcome the rigidity of fixed Five Year Plans by mending targets, the object of the exercise, projections and allocations as per the changing conditions in the country's economy.

10. With reference to Bare Necessities Index (BNI), consider the following statements-

1. The Economic Survey has come up with the Bare Necessities Index at the rural and urban levels.

2. B. N. I. has been created for 2018 only for all states.

3. B. N. I. is based on 26 indicators.

4. b. N. AI consists of six dimensions.

Which of the above statements are correct?

(a) 1 and 3 only

(b) 2 and 3 only

(c) 1 and 4 only

(d) 2 and 4 only

(e) None of the above/More than one of the above

67th B.P.S.C. (Pre) 2021

Ans. (a)

The Economic Survey, 2020-21 was presented by Finance Minister Nirmala Sitharaman on January 29, 2021. In this Economic Survey, the basic needs index (BNI) was prepared at the rural, urban and all India level. It evaluates 26 indicators on five dimensions such as water, sanitation, housing, micro environment and other facilities. BNI is prepared for all states for the years 2012 and 2018 using data from the basis of drinking water, sanitation, health and residential status record of 69th and 76th NSO.

11. The 'Rolling Plan' concept in National Planning was introduced by :

(a) Indira Gandhi

(b) The National Front Governmment

(c) The Janata Government

(d) Rajiv Gandhi

48th to 52nd B.P.S.C. (Pre) 2008

Ans. (c)

The 'Rolling Plan' concept in National Planning of India was introduced by the Janta Party Government in 1978-79. It rejected the Fifth Five Year Plan of the preceding Congress government and launched the Rolling Plan which could be revised as per the needs of the economy due to the inherent flexibility in the Plan.

12. During Twelfth Five Year Plan, which one of the following average annual growth rate targets was envisaged for agriculture and allied sector?

(a) 3.0 percent (b) 3.5 percent

(c) 4.0 percent (d) 4.5 percent

(e) None of the above/More than one of the above

64th B.P.S.C. (Pre) 2018

Ans. (c)

In the proposed **'vision paper'** of the 12th Five Year Plan, a target of 9 percent annual average GDP growth rate was set. It was later fixed at 8 percent by the National Development Council (NDC) in December 2012 while approving the Five Year Plan.

13. The objective of the Eleventh Five Year Plan is :

(a) Removal of poverty

(b) Inclusive growth

(c) Growth with social justice

(d) Development of minorities

48th to 52nd B.P.S.C. (Pre) 2008

Ans. (b)

Eleventh Five Year Plan was aimed 'Towards Faster and More Inclusive Growth'. The duration of 11th Five Year Plan was 2007-12.

14. Which one of the following programmes was initiated during the Sixth Five Year Plan?

(a) Integrated Rural Development

(b) Rural Literacy Development

(c) Rural Railways

(d) Advanced Communication Links for Rural People

(e) None of the above/More than one of the above

65th B.P.S.C. (Pre) 2019

Ans. (a)

The Sixth Five Year Plan was undertaken for the period between 1980 to 1985. Integrated Rural Development Plan (IRDP) was launched on 2 October, 1980 across the country. It was aimed at providing assistance to the rural poor families in the form of subsidy and bank credit for productive self-employment opportunities. From April, 1999 it was merged with Swarna Jayanti Gram Swarozgar Yojna.

15. Mahalanobis Plan Model adopted in India in the mid-fifties aimed at :

(a) Building a strong defence industry base

(b) Setting up heavy industries which were capital intensive

(c) Curbing inflation in the economy

(d) Removing unemployment within a short period

56th to 59th B.P.S.C. (Pre) 2015

Ans. (b)

Second Plan (1956-61) is also called Mahalanobis Plan. Second plan was conceived in an atmosphere of economic stability. It was felt agriculture could be accorded lower priority. The Plan focussed on rapid industrialization and setting up capital intensive heavy and basic industries.

16. First Five Year Plan of India was based on the :

(a) Harrod-Domar Model

(b) Mahalanobis Model

(c) Dadabhai Naoroji Model

(d) J.L. Nehru Model

(e) None of the above/More than one of the above

60th to 62nd B.P.S.C. (Pre) 2016

Ans. (a)

The First Five Year Plan was launched in 1951 which mainly focussed on development of the primary sector. This plan was based on the Harrod-Domar model with few modifications. Influx of refugees, severe food shortage and mounting inflation confronted the country at the onset of the First Five Year Plan.

17. The period of Plan Holiday in India was :

(a) 1962-65 (b) 1966-69

(c) 1969-72 (d) 1972-75

48th to 52nd B.P.S.C. (Pre) 2008

Ans. (b)

Third Five Year Plan ended on 31st March, 1966 and Fourth Five Year Plan was started from 1st April, 1969. During this period i.e. from 1st April, 1966 to 31st March, 1969 (3 years), there was no Five Year Plan. During this period three Annual Plans were introduced instead. Therefore, the period 1966-69 euphemistically described as a **'Plan Holiday'** in the history of Indian planning.

18. Which of the following were treated as separate Annual Plans?

(a) 1988-89 and 1989-90 (b) 1989-90 and 1990-91

(c) 1990-91 and 1991-92 (d) 1991-92 and 1992-93

(e) None of the above / More than one of the above

B.P.S.C. Project Manager Prelims 2021

Ans. (c)

The Eight Five-Year Plan could not take off in 1990 due to the rapidly changing economic and political situation at the centre in India. The Government adopted the two Annual Plans for the years 1990-91 and 1991-92 for the country's economy to back on track. It was the second, plan Holiday, after the First Plan Holiday in 1966-69.

19. According to Article 113 of the Constitution, how much Demands of Grants in the annual budget are presented in Parliament?

(a) 98 (b) 96

(c) 104 (d) 109

(e) None of the above / more than one of the above

67th B.P.S.C. (Pre) 2021

Ans. (e)

According to Article 113 of the Constitution of India, the demand for expenditure over and above the expenditure charged on the Consolidated Fund of India is presented for the approval of the Lok Sabha. This is called Demand for Grants. A total of 102 demands (items have been demanded) in the annual budget 2024-25 under Article 13 of the Indian Constitution.

20. Which five year plan period in the Indian economy?

(a) First plan (b) Second plan

(c) Fourth Plan (d) Annual plans

44th B.P.S.C. (Pre) 2000

38th B.P.S.C. (Pre) 1992-93

Ans. (a)

Starting from the year 1951 till date, the price level came down only during the period of the First Five Year Plan (1951-56) in the entire planning period. The Wholesale Price Index [(WPI) base year 1961-62 = 100] which was 89 in 1950-51, fell to 74 in 1955-56. That is, there was an annual decrease of 3.2% in the price level in these five years.

21. The final approval of five year plan is given by-

(a) National Development Council

(b) Parliament

(c) Planning Commission

(d) Ministry of Planning

43rd B.P.S.C. (Pre) 1999

Ans. (a)